

Oversea-Chinese Banking Corporation Limited

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FY 2025 Earnings Call Transcripts

Wednesday, February 25, 2026 12:00 AM GMT

S&P Global Market Intelligence Estimates

	-FQ4 2025-			-FQ1 2026-	-FY 2025-			-FY 2026-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.38	0.38	0.00	0.41	1.64	1.63	▼ (0.61 %)	1.68
Revenue (mm)	3521.66	3616.00	▲ 2.68	3605.86	14529.54	14614.00	▲ 0.58	14935.67

Currency: SGD

Consensus as of Feb-25-2026 11:27 PM GMT

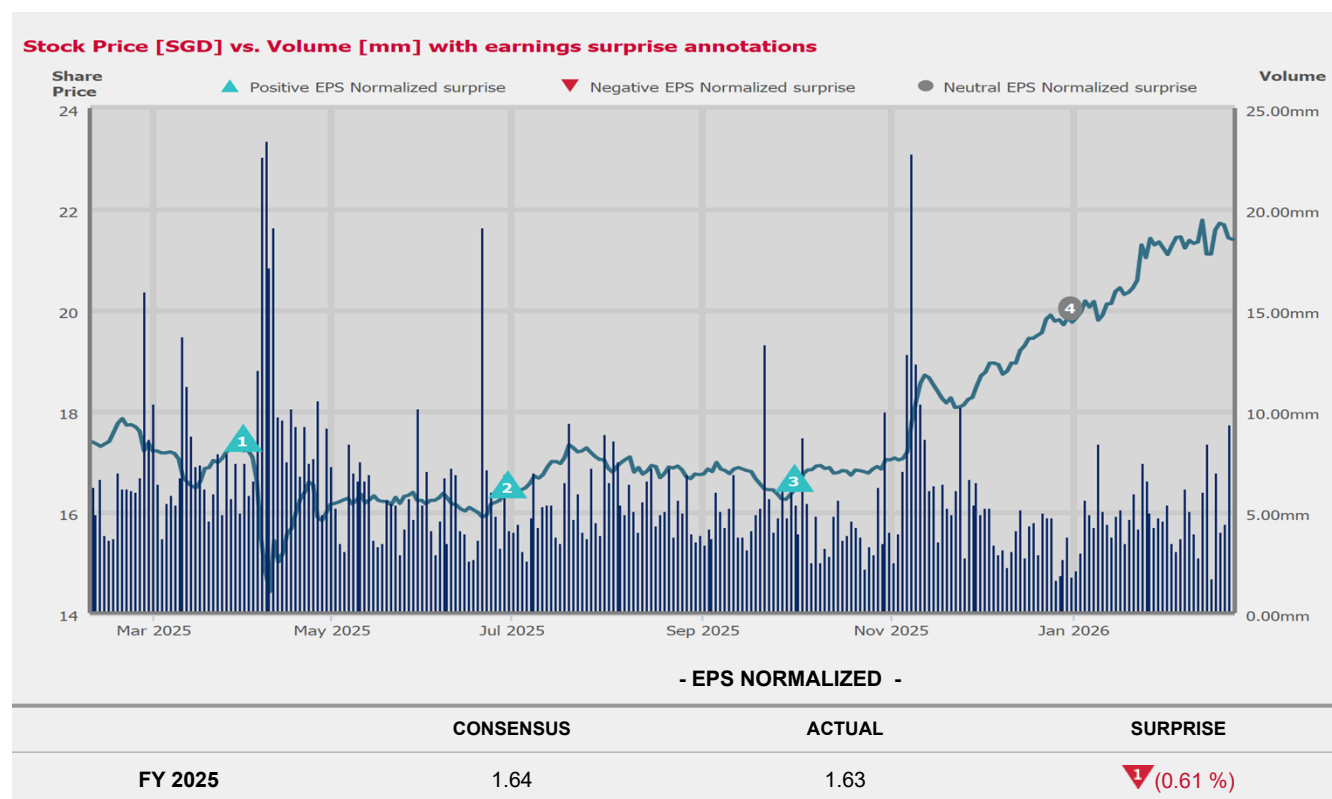


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Call Participants

EXECUTIVES

Chin Yee Goh
Group Chief Financial Officer

Kenneth Mark Chin Kui Lai
Head of Global Markets

Sunny Quek
Head of Global Consumer Financial Services

Teck Long Tan
Group Chief Executive Officer

Unknown Executive

Yi Sin Moo
Chief Executive Officer of Bank of Singapore

ANALYSTS

Nicholas Lord
Morgan Stanley, Research Division

Unknown Analyst

Yong Hong Tan
Citigroup Inc., Research Division

ATTENDEES

Unknown Attendee

Presentation

Operator

Okay. Good morning. Welcome to OCBC's Full Year 2025 Fourth Quarter 2025 Results Briefing. On our panel this morning, we have our Group CEO, Mr. Tan Teck Long; our CFO, Ms. Goh Chin Yee; as well as our colleagues from our whole of wealth, which our CEO will be talking about, which is Mr. Sunny Quek, Head of Consumer Financial Services; CEO of Bank of Singapore, Mr. Jason Moo. And we have today with us the CEO of Great Eastern, and that's Mr. Greg Kingston. And last but not least, our Head of Global Markets, Mr. Kenneth Lai.

So Chin Yee, our CFO, will take us through our presentation slides, and thereafter, we will take Q&A. Chin Yee, please.

Chin Yee Goh

Group Chief Financial Officer

Good morning, everyone. Thank you for joining us in our FY 2025 results briefing. OCBC's profit before tax for full year of '25 rose 2% year-on-year to a record SGD 9.12 billion. This was the first time our pretax profit crossed the SGD 9 billion mark. FY '25 group net profit of SGD 7.42 billion was 2% below our record SGD 7.59 billion a year ago due to higher tax expense.

The rise in tax expense was mainly because of the increased profit contribution from higher tax jurisdictions and implementation of the 15% minimum global tax from the start of 2025.

Our record pretax profit was driven by 3 key factors: Firstly, record total income; secondly, well-managed expenses and thirdly, lower allowances. Net interest income fell 6% to SGD 9.15 billion in the declining interest rate environment. Noninterest income grew 16% to a new high of SGD 5.46 billion from broad-based growth. This more than compensated for the decline in NII.

Fee and trading income both rose to record levels, up 22% and 10%, respectively. In particular, our wealth management fees and customer flow treasury income also hit new highs, driven by increased client activities and franchise strength. Insurance income also delivered a strong 17% increase. Operating expenses were well managed, up 2%. Cost-to-income ratio was largely maintained at 40%. Our disciplined risk management kept NPL ratio stable at 0.9% across the past 7 quarters. Credit costs were lower at 17 basis points. On capital, CET1 ratio was 16.9% on a transitional basis and 15.1% on fully phased-in basis.

With our resilient financial results and sound capital position, we are pleased to announce a final ordinary dividend of SGD 0.42 and a special dividend of SGD 0.16 for FY '25. Together with our interim dividend of SGD 0.41, total dividend for FY '25 will amount to SGD 0.99. This represents a 60% dividend payout ratio.

On our fourth quarter performance, group net profit was 3% higher than a year ago, driven by 6% growth in income and 4% lower allowances. Against the previous quarter, net profit was 12% lower, mainly due to income seasonality and higher allowances.

Moving on to our performance by 3 key business pillars on Slide 5. Wealth Management and Insurance delivered strong results, which more than compensated for the lower profit from banking.

Wealth management income and AUM both rose to new highs. Wealth management income was 14% higher at SGD 5.6 billion. It now contributes more -- contributes to 38% of group total income, up from 34% a year ago.

Banking AUM expanded 15% to SGD 343 billion, driven by both net new money inflows as well as positive market valuation. Net new money inflow in the fourth quarter was SGD 6 billion. For the full year, our net new money inflows totaled SGD 27 billion, up by close to 30% from a year ago. On insurance, profit contribution from Great Eastern rose 28% to SGD 1.13 billion, driven by stronger insurance and investment performance.

New business embedded value or NBEV grew 19% and our NBEV margin improved to 48.2% as Great Eastern continued to shift towards higher-margin products. Banking profit before tax was 2% lower at SGD 7.65 billion, mainly due to lower net interest income, partly mitigated by double-digit growth in noninterest income.

I'll move on to details of our group performance trends, starting on Slide 8. FY '25 NII declined to SGD 9.15 billion, impacted by sharp declines in key benchmark rates, in particular, SORA and HIBOR. This was mitigated by an 8% growth in our average assets and the benefits from our cash flow hedges. The asset growth was driven by loans, up 7% year-on-year and on a constant currency basis, up 9%.

Our deposits also grew strongly, up 10% year-on-year. The excess liquidity was deployed to high-quality assets. For the fourth quarter, NII was 6% lower year-on-year and 3% up Q-on-Q. Our Q-on-Q rise in NII was driven by a 2% asset growth, lower funding costs and continued deployment of excess liquidity to high-quality assets.

NII sensitivity based on 1 basis point drop in rates across our 4 major currencies of Singapore dollars, Malaysian ringgit, Hong Kong dollars and U.S. dollars was about SGD 6 billion on an annualized basis.

NIM for FY '25 was 1.91%. Our exit NIM for December was 1.84%. We will continue to lower our cost of deposits to manage funding costs, deploy liquidity to income accretive assets to grow income and capture hedging opportunities to mitigate loan yield compression.

Moving on to noninterest income. Our full year net interest income rose 16% to a record SGD 5.46 billion, driven by broad-based growth across fee, trading and insurance income. For the quarter, noninterest income rose 37% year-on-year, but was 16% lower Q-on-Q as wealth management and customer flow treasury income were impacted by seasonality in the fourth quarter.

Full year 2025 fee income grew 22% to a record SGD 2.41 billion, lifted by growth across all major fee businesses, in particular, wealth management. Our wealth management fees surged 33% to a new high of SGD 1.23 billion and contributed to more than half of our group fee income.

The strong performance were driven by 2 factors. First, improved client sentiment and higher average percentage of invested AUM across all wealth segments. Our invested AUM is now above 60%. Second, our strategic drive to strengthen our wealth franchise, including increasing RMs and use of digitalization. These are starting to deliver improved revenues and productivity.

On trading income, our trading income grew 10% to SGD 1.68 billion as customer flow treasury income rose 20% to a new high of SGD 1.33 billion. The growth was driven by both wealth and corporate segments with continued demand for FX, hedging and investments products. Next, on operating expenses. FY '25 expenses increased by a modest 2%, mainly from higher staff and technology costs to support our business growth and raise productivity.

Cost-to-income ratio was maintained at around 40%. We continue to invest strategically for growth while executing strong discipline in our discretionary expenses.

Loan growth momentum was sustained. On constant currency terms, loans grew 9% year-on-year and 4% Q-on-Q to SGD 341 billion. Loan growth for the year was contributed by both corporate and consumer segments. By industry, the increase was broad-based, in line with our group strategy to capture opportunities in various growth sectors.

This includes sustainable financing, TMT, including digital infrastructure, transport as well as our Singapore residential mortgages. In particular, sustainable financing loans grew 13% year-on-year to SGD 56.5 billion and now accounts for 17% of our total group loans.

Our loan book remains well diversified across geographies and sectors. Overall loan portfolio quality remains sound. NPL ratio was stable at 0.9% for 7 consecutive quarters since June 2024. NPAs were 9% higher Q-on-Q at SGD 3.24 billion, mainly due to downgrades of 2 corporate real estate accounts in Greater China in the fourth quarter.

These accounts were previously classified as special mention loans and have been proactively managed. We remain vigilant and continue to actively monitor our loan portfolio. Total allowances for the full year declined 4% to SGD 665 million.

Total credit costs were lower at 17 basis points. For the fourth quarter, total allowances were SGD 200 million and mainly comprised SGD 2.36 million for -- sorry, SGD 236 million for impaired assets, largely for the 2 corporate real estate accounts that were downgraded.

This was offset by a net write-back of SGD 36 million for non-impaired assets, mainly due to migration to allowances for impaired assets and adjustment of NEV updates to reflect the improved GDP forecast.

Our cumulative allowances were higher year-on-year at SGD 4.91 billion. NPA coverage stood at 151%. Allowances for non-impaired loans were maintained at 0.9% of total performing loans. Customer deposits rose 10% year-on-year and 4% Q-on-Q to SGD 428 billion, mainly driven by CASA. Our CASA deposits increased 14% year-on-year across corporate, SME as well as consumer segments.

CASA ratio has improved steadily over the last 7 quarters to 50.7%. This is a reflection of our efforts to gather lower cost and stickier deposits as well as the lower interest rate environment.

Our funding position remains stable with 80% comprising of customer deposits. All funding and liquidity ratios are well below regulatory requirements. Next on capital. Transitional CET1 ratio was 16.9% and fully phased-in CET1 ratio was 15.1%.

Our robust capital position supports our growth strategy and enables us to deliver sustainable shareholders' returns. Moving on to my final slide on dividend. Our Board has proposed a final ordinary dividend of SGD 0.42 and a special dividend of SGD 0.16 per share. Together with our interim dividend of SGD 0.41, the total dividend for FY '25 will be SGD 0.99 per share, representing 60% of group net profit.

This is in line with our target payout ratio of 50% for ordinary dividend and 10% for special dividend for FY '25 as part of our previously announced capital return plan. We remain committed to complete our SGD 2.5 billion capital return plan by FY 2026.

With this, I end my presentation. Thank you very much for your attention. I will now hand the floor over to Teck Long. Teck Long, please.

Teck Long Tan
Group Chief Executive Officer

Great. Thank you. Thank you, Chin Yee. A very happy Chinese New Year to all of you. Last year was a Year of the Snake and the economy and the uncertainties in the world of [indiscernible] pattern. So I wish that for everyone in the room and for the economy of the world at large that in The Year of the Horse is a sure-footed one and not a wild horse.

If you recall, last year was actually a challenging year, especially after the announcement of the deration day tariffs. The bank also faces interest rate pressure. And if you recall, in the second quarter of last year, HIBOR actually took a dive from 400 basis points to almost overnight, sub-100 basis points.

Fortunately, it has resurfaced somewhat, and I hope for more stability. So nevertheless, despite all these challenges, the bank managed to deliver a new high in income. To achieve this, we need all cylinders firing. We expanded our loan book, we grew our deposit and for noninterest income, we achieved a double-digit growth. Great Eastern also came in very strongly year-on-year.

Our customers flow business for trading also registered double-digit growth, contributed by the wholesale bank and our cost of wealth business, which has been a standout in last year's financial performance. So all in all, we delivered a strong financial performance. Expenses remained well managed at cost-to-income ratio of 40%. Credit quality remains sound with NPL ratio stable at 0.9%.

It's worthwhile to note that we have maintained this NPL ratio across 7 quarters so far, and this despite the challenges we see in the market. Looking forward in 2026, we expect market conditions to remain uncertain with continued pressure from softening of interest rates.

We expect a slight to moderate decline in net interest income, but we are still aiming for stable to growing total income. Loan growth is expected to be in the mid-single-digit range. Cost income [Audio Gap].

Credit cost, we expect it to remain benign at 20 to 25 basis points. But let's bear in mind that we are at the beginning of the year.

I'm crystal ball gazing a little bit. So 20 to 25 basis points is what we are guiding. We will continue with our 50% ordinary dividend payout policy, but we will complete our earlier announced SGD 2.5 billion capital return plan by financial year 2026.

Okay. Next, I assume that with a new CEO in town, there will be interest to hear our new strategy. But if I'm wrong, please raise your hand and then maybe I'll skip this section. So when we craft our corporate strategy, there were 2 thoughts at the backdrop in our mind. One is a very deep Asian insights, having operated in this part of the world in ASEAN and Greater China for almost a century. With this deep insight, given the challenges in the marketplace, we want to leverage these insights to capture new opportunities.

So that's one thought behind the corporate strategy. The second is really with an eye to the future. In the 30 years, I have been in the banking industry, I witnessed 3 transformation. First, internet banking; second, digital mobile banking. And now with the rapid advancement of AI, we could be on the cusp of a third transformation. I can't think of it, this could be the fourth because we joined the banking industry, there were still tech writers around and we migrated computer processing.

Next page, please. We have identified 5 mega trends and we group our thoughts into 4 strategic shifts to drive these mega trends. Asia, tech, net zero and franchise shift with ADD at the center. ADD stands for AI, Digital and Data. Now we quite easily put AI in the center.

There's some thought process behind that, and we did choose ADD. We don't think AI alone can give us all the synergy we want. So we want to view holistically using AI, Digital, Data, focusing on customer journey holistically, focusing on employee journey

holistically to get the synergies we can get. We also think that the AI technology, some are more mature and can give us benefit, and we have already created synergies out of that. But agentic AI is a very promising field, and that can give us even more bang for buck.

However, the technology may not be ready today, but it is a fast advancing field. So as a result, our focus on customer journey supported with a deliberate digital and data strategy make us AI ready so that when the AI technology is mature, as and when it's mature, we plug it into our system.

So next page, Asia shift. We want to capture opportunities from a rising Asia. Even though we may be carried away and be confused by the uncertainties in the marketplace, ASEAN is actually a good place to be in. We are seeing a rising Asia with rising intra-Asia trade, rising intra-Asia investments and wealth flows.

Indeed, ASEAN is projected to become the fourth largest global economy as a block by 2030. We are very fortunate that our core markets, Malaysia, Indonesia and Singapore account for 60% of the GDP of ASEAN. If we include our branches in Vietnam and Thailand, we can cover 85% of the GDP in ASEAN.

To do this effectively to leverage our single branch presence besides our core market presence, we are working on digital solutioning, especially upgrading our transaction banking services to provide one ASEAN value proposition to our customers. We will continue to leverage our twin hubs in Singapore and Hong Kong to capture high net worth wealth flows.

This is not a new strategy. It's an existing strategy, and we have experienced high growth, and we will continue to tap on this. Next. The second strategy shift is the technology shift. With advancement of technology, we have an opportunity to create a customer-centric ADD strategy, where we gain a better understanding of the customer through technology in order to deliver to the right customers, the right products at the right time.

So we are going to make investments in this area and grow it. We have also been very successful in identifying and expanding our coverage of TMT sector in the last few years.

We have managed to register double-digit growth in the past 3 years. We managed to ride on the AI tailwinds to finance digital infrastructure such as data center, but we are also in financing the tech supply chain. The third strategic shift, net zero shift.

Sustainability remains very important for us. And we will continue to help reduce carbon emissions by financing renewables and greening of industries, including support for SMEs. If you really think about the content of that sentence, it means that we are trying to make a difference to the environment.

The fourth strategic shift, franchise shift. This is a very big slide because we attempt to cover our 4 core markets. For this briefing, we have distilled a slide to focus our discussion on the several big ideas. We have 3 hubs, and we have the ASEAN domestic markets.

In Singapore, we are unique compared to other competitors that we have the full capabilities in OCBC, Bank of Singapore and Great Eastern. This gives us a unique opportunity to deliver what we call the whole of wealth value props across banking, wealth and insurance. But if you want, you can call us as a WOW strategy.

We have product capabilities under each of our wealth units, and each of them have their respective customer base. Under the whole wealth initiative, we want to have a much more integrated and coordinated effort in delivering our services to the whole wealth continuum.

To underline the importance of the whole wealth strategy, we have set up a wealth management committee starring Greg, Sunny and Jason and myself too, I don't know whether they'll give me a starring role or I'm going to be a supporting actor.

Anyway, I'll be sharing the wealth NC because it's a really important initiative for us. Hong Kong is a gateway city for Greater China flows, and that positioning has not changed. It is also an affluent city. We want to grow the affluent segment in Hong Kong.

Last year, OCBC premium banking in Hong Kong grew 70% year-on-year. As Hong Kong is a financial hub, we also want to scale up our Hong Kong global market business, and this is a really important initiative. I emphasize, we are trying to crystallize and distill the ideas for easy presentation.

So when it appears here, it's actually really important. So in Malaysia, under ASEAN domestic markets, Great Eastern's customer base, you may not be totally aware. The customer base of Great Eastern Malaysia is almost the size of half of Singapore's population. So the bank and Great Eastern in Malaysia can work together to deliver value propositions to the customer base. It's an immense opportunity here.

For Malaysia, we are also very excited about the Johor Singapore special economic zone, given our presence on both sides of the causeway. We have already financed more than RM 15 billion worth of projects. We have 4 branches in Johor Bahru to serve our customers, and we are seeing very good business flows. Indonesia, Indonesia is a very big and fast market.

We will be embarking on a digital journey to serve this market effectively. Although we have more than 200 branches in Indonesia, but we don't think it is sufficient to cover such a big marketplace. We also aim to extend our OCBC Indonesia services to the wealth customers to move them to cover the higher end of the wealth spectrum. As part of our whole wealth strategy, to help OCBC Indonesia differentiate its value proposition as we move up to the higher end of the wealth spectrum, we can tap on the insights and capabilities of Bank of Singapore.

So I wanted to illustrate with some real-life example of what is meant by the whole of wealth strategy. As an integrated financial services group, we are able to address the need of seniors across the entire wealth continuum. And this is very important as Singapore enter a super aged society this year.

So if you look at the 3 columns, on the left, for seniors who need simple banking needs, we have OCBC senior care with special deposit rates and OCBC care ambassadors to assist. In the center, for business owner and ultra-high net worth, they have other considerations such as a smooth transition of business leadership for family business to the next generation.

High net worth families also are very concerned about preservation of wealth and how to do the intergenerational transfer of wealth. Great Eastern is able to provide protection as well as annuity income for seniors. So this is just examples of the wealth product services we can bring to the table as an integrated financial services group.

Now interestingly, if you look on the left-hand side, smart tax resizing in the OCBC app, it's actually quite important. When we announced this feature, I have a lot of friends texting me and congratulating me on this feature because they think that this is exactly what they need.

So I think this also suggests to you the age [indiscernible] of my friends. Next, somehow I feel very compelled to talk about gold in the current climate. We have actually embarked under the leadership of myself since last year to come up with a comprehensive growth strategy. What you can see on the slide is a sample of our gold products.

So again, we are trying to serve the whole wealth continuum. We have customers who have simpler banking needs who are not used to go investment. We have our OCBC app under our consumer financial services, which allows an easy entry into gold investing.

They can buy 0.01 ounce of gold as low as 0.01 ounce of gold, that translates to less than SGD 100 investment in the CFS app. if want to know the customer experience we have put in for this product, well, after the briefing, please don't do it now. But after the briefing, you can try and buy SGD 100 or SGD 1,000 or SGD 10,000 worth of gold in our app.

The second, there are customers who want to buy gold, but don't want a hassle of storing gold at home. And Singapore being a safe haven is also an ideal place to go. So we have launched a gold fund under LionGlobal, which addresses this need.

Right now, it's focused on large institutional investors and high net worth. When the customers want to exchange the units for gold, they can do so. The final product feature here is that we have launched an insurance product, which combine protection with investment-linked plan for gold under Great Eastern.

Next slide, please. So we are forging ahead in summary with our New Frontier of growth strategy. It is very much a growth strategy. And because we are going to focus quite a lot on higher returning business, businesses which requires less capital to support the business, we expect stable to improve ROE.

So with this, I end my presentation.

Question and Answer

Operator

All right. We will take questions. Maybe we start with the journalists and we'll come to the analysts. Okay.

Unknown Analyst

Congratulations, OCBC on your beat and also wishing for a very successful journey and leadership. Looking forward to writing more about you in future. I have 2 questions for you and one for Greg since you are here. For your 3-year plan, you mentioned ROE. Could you give specific numbers what kind of ROE you expect by the end of your implementation of the plans -- also for excess capital with some analysts estimates at about SGD 2 billion.

Could you share on capital management, whether -- how you are going to do this? Any extension of special dividend, any M&A on the cards? Second question, you mentioned growing private banking in Indonesia. What's the opportunity there that you see? You mentioned high net worth, the higher end. Also, please share your thoughts on the turmoil that the country is in and where -- how do you look to manage the situation? For Greg, I mean, Singapore just saw a record high single life policy issued here by your competitor. What are your plans on the high net worth segment?

Teck Long Tan

Group Chief Executive Officer

Okay. Firstly, that wasn't 2 questions. I thought at least 4 questions. So we are at the early stage of implementing the new corporate strategy. I think we are not ready to share the ROE. But directionally, we have positioned it. We have planned for it to be uplifting ROE. So as we execute the strategy, we will probably be more comfortable to share more insights.

Second, on the excess capital, we have a new strategy and the new strategy is very much focused on growth. So we need the capital to support the growth. Although I did talk a lot about the wealth business, the loan book remains important, and we do have a couple of businesses, which is focused on the loan book, such as, for example, financing tech, financing sustainability, and we intend to continue to grow as much as we can.

So with a growth strategy, we will need capital at this point in time. I will also point out that we use our insights to capture opportunities, but the world actually has a challenging environment. In fact, right now, as simple a question as what is the trade tariff being levied by banks by the U.S. is also very uncertain.

So nobody even really know how you will land and how you evolve. So given such a climate, we also want to hedge the downside by making sure we have a strong capital position. And when the downturn happened, we also want to take the opportunity to acquire things where it fits our corporate strategy.

So yes, in short, we will stick with our dividend policy of 50%, and we will complete our capital return as in 2026. Then for future dividend, it's still a 50% dividend policy, but with a growth strategy, it can translate a higher dividend even though it's a 50% dividend policy. You have a question on the turmoil on Indonesia, correct? See, I listen to all your questions very carefully, turmoil.

I would say Indonesia, we have been there for 80 years. We have seen up and down. We are a long-term player. We continue to be invested and is very committed to the Indonesian market. It also appears in my strategy as part of the ASEAN domestic market. I spoke about it being a very big market. I spoke about the potential for us to use digital model to continue to grow market share.

So the turmoil will be there, but we will continue to execute our strategy. In terms of moving up the spectrum for the high-end customers, I think Indonesia is a market where we don't want to say the customer is either a high net worth or a PC type of premium because actually, the behavior of customers, there's quite a bit of overlap. A customer high net worth and they overseas wealth investments, but they also have wealth domestically to deploy. Also, because the market is very large, there's still a slice of customers which we can aim to target to grow our wealth business at the higher end of the wealth continuum. Have I answered the question or your questions? I think so, yes, thank you.

Unknown Executive

I'll pick up on the Great Eastern question around high net worth. And so quite a timely question, actually. So yes, we see this as a very significant opportunity for Great Eastern. It's a segment that we've probably been underweight in historically. It's been a very fast-growing segment, obviously, and particularly here in Singapore, given the international financial center status.

So you'll be hearing more from us next week actually on our high net worth strategy. We will be launching the first phase of that to the market. So we will be announcing something next week. So I can't talk about it in detail now, but you'll see the first evolution of Great Eastern really focusing on that segment. Why? Because we have a large number of customers that we serve already that have those needs. And obviously, I operate within a group that has a private bank and a very large retail and commercial bank with a lot of wealthy customers, and we want to be serving those needs more effectively.

And working more closely with the parts of the bank to bring best-of-breed solutions, not just on insurance, but investments as well to our client base as well as the bank's client base. So it's a big opportunity. You will be seeing a lot more of Great Eastern in the space, and you'll hear more about that next week.

Yong Hong Tan
Citigroup Inc., Research Division

This is Yong Hong from Citi. I just have 3 questions, 2 on capital and one on your new strategy. And firstly, on capital, the 14% target CET1 ratio was in the deck and gain. So just wondering how do we reconcile this 14% CET1 ratio with your new strategy, which appears to be across capital-light business. And you also talked about conserving some capital for M&A. So how much capital or any ballpark number will be helpful just to understand how much will be conserved for M&A? And maybe I'll ask my second question later.

Teck Long Tan
Group Chief Executive Officer

Okay. That will be your third and fourth question, not a second. The first question is our target CET1 in the near term, we are still aiming for 14%. I think it really depends on how we execute our strategy and the market environment. If we grow very fast, we actually will need more capital to support. On M&A opportunities, we are always keen to look at M&A opportunities as long as there's a strategic fit. But it's very difficult to say how much is set aside for M&A because it really depends on the size of the opportunity. So we'll look at the opportunity as and when required and our capital position there and then.

Yong Hong Tan
Citigroup Inc., Research Division

Maybe second question, again on your SGD 2.5 billion capital return. SGD 1.5 billion is done by specialists, SGD 225 million done via buybacks, leftover of SGD 800 million or about SGD 0.18 per share. And this time, you didn't talk about 60% payout ratio like what you did last year. So any high-level view on how this SGD 800 million remaining capital can be returned? Because if you're thinking about OCBC profits growing year-on-year, your payout ratio will be above 60%.

Teck Long Tan
Group Chief Executive Officer

We will continue to execute our share buyback plan in FY '26. And if we did not acquire as many shares as we would like to, we will return capital via special dividend.

Yong Hong Tan
Citigroup Inc., Research Division

I think on buyback previously, it was communicated that 1 year ago, at current multiples, it may be more beneficial for shareholders as dividends. So just wondering your thinking on balancing buyback dividends.

Teck Long Tan
Group Chief Executive Officer

My preference is that between -- between return of capital via share buyback versus special dividend, I have preference for special dividend.

Yong Hong Tan
Citigroup Inc., Research Division

Maybe just one final question to wrap up the strategy.

Teck Long Tan
Group Chief Executive Officer

Maybe I want to add on [indiscernible]. If you really think about our shareholding base, we have a lot of long-term shareholder. I think a special dividend actually rewards our shareholders in a broader way. If we do share buyback, basically is shareholders who return the shares back to the bank. So I think there's a slight difference in terms of thinking. So we really want to reward our long-term shareholder base.

Yong Hong Tan

Citigroup Inc., Research Division

And maybe just one more question to wrap up the strategy. You talked about many noninterest income opportunities across OCBC Bank, Great Eastern and also Bank of Singapore. Any high-level numbers or target that we can think about for noninterest income in the near term or in the longer term? And how does that translate into higher ROE for your long-term targets? These are my questions.

Teck Long Tan

Group Chief Executive Officer

We are aiming for double-digit growth in noninterest income. If you think about our guidance just now, we expect loan business to be mid-single digit. We will calibrate the deposit business to what we need for loan business so that we don't overpay for deposits at least for the high-cost deposit, such as FD. The second -- so if you look at the mix, if we are growing noninterest income at a pace of double digit for wealth and then even for the wholesale bank, we are still aiming high single digit to double digit as well, the mix will change, and therefore, it will help us in the returns.

Operator

I will go to [Rutika] from Bloomberg.

Unknown Attendee

Congratulations. I'm [Rutika] with Bloomberg, and I have a question for you on AI. You've been adding RMs to drive wealth growth. As AI and digital tools become more embedded, do you see that hiring pace continuing? Or will there be a point where technology starts to replace some of the roles in the bank?

Teck Long Tan

Group Chief Executive Officer

That is assuming if the business don't grow, we intend to grow our business, and we intend to grow in all the segments of wealth, whether it's premier, PBC or the high net worth business. Because of this, some of the businesses such as high net worth business is you require attention to the customers, you require the human touch. We will use AI to help them to do their job better so that they can become more productive.

So in the Bank of Singapore business, for example, we have already implemented AI, which helps to shorten the time taken and be more efficient in the curation for the KYC assessment. So that has been very helpful with the -- from that perspective for the RMs.

So the answer is yes, as we use more AI technology, the ADD strategy, we will address the lower end of the wealth spectrum more effectively. So that may not require a lot more hiring in RMs. But in the mid- to high end of the spectrum, the human touch is absolutely necessary.

Unknown Attendee

Okay. Can I also just ask a quick follow-up? Which part of the bank is furthest along on AI adoption? And where are you seeing the biggest impact on productivity so far?

Teck Long Tan

Group Chief Executive Officer

Sorry, can you repeat it.

Unknown Attendee

Where are you seeing the biggest impact on productivity so far due to the automation, like which part...

Teck Long Tan

Group Chief Executive Officer

That means our benefit -- when we approach the AI -- when we approach it from an AI angle, we look at every opportunity. So it's quite across the board. We look at opportunities. For Gen AI, we use it for some of the branch work, where we can save [indiscernible] time. So we have done that in the wholesale bank. We have done that in the private bank. So this -- we have done it. In the technology side, we also use AI to accelerate our writing of codes to make it simpler and faster.

Operator

Let's go to Harsh...

Unknown Analyst

Three questions, if I may. First is provisions guidance of 20 to 25 basis points. What is driving that? It is slightly higher than last 2 years. Any particular segment or segments that worries you? And I'll have a follow-up after that.

Teck Long Tan

Group Chief Executive Officer

Okay. I will take this question first before your next question. The 20 to 25 basis points, we are crystal ball gazing at the beginning of the year. It is through the cycle credit cost, which we anchor our thinking. We hope to do better than that. If you look at the risk spot currently, obviously, we continue to monitor and track the Hong Kong portfolio for real estate.

Having said that, we have been tracking and actively managing it for the last 2 years. So what you see is the outcome of our active management. At the same time, we also managed to lift our provision to asset coverage, provision to NPA coverage to 150%. That's pretty high compared to the market average.

Unknown Analyst

All right. The second one is on the 14% CET1. -- by when?

Teck Long Tan

Group Chief Executive Officer

Well, it depends on how fast we deliver the targets under the strategy -- the new corporate strategy. Well, over the next couple of years is what we are thinking of.

Unknown Analyst

So you think in next 2 years, by end of '27, you can get from 15.1% to 14%.

Teck Long Tan

Group Chief Executive Officer

Okay. I want to be a little bit more measured in the response. I think over the next -- when we say high growth, it really depends on what we can achieve. As you have heard, some of the businesses we managed to achieve 70% growth. There are many other businesses in the corporate strategy, especially those which are refreshed on the current strategy where we execute like technology, we actually grow at north of 20% or even 30%.

So therefore, you will need the capital to acquire -- to support the growth. So I can't really give you a timing, but certainly, in the faster we achieve some of this growth target, the faster you reach the 14%.

Unknown Analyst

Right. So I guess the question just take long that, okay, that is the organic aspiration. But if for whatever reason, let's say, organically, let's say, you end up growing in the less capital-intensive segments, is there still a commitment that you will get to 14% CET1 by a particular time frame? How do we understand that 14%? Is it just an aspirational number? Or is it a number that you are committing to deliver by a particular date?

Teck Long Tan

Group Chief Executive Officer

It is a target number. We don't have a fixed time line to say that we need to get to 14% because that's not realistic in real life, especially when you throw M&A opportunities and the way the whole environment is working. So -- we are committed to that 14% over the next few years, but we don't have a concrete time line for it.

Unknown Analyst

All right. And the last one, if I may. You touched on M&A. What kind of gaps in the overall franchise as you would have gone through the different businesses, either geography or business, where, let's say, over the next couple of years, you would want to supplement with some kind of inorganic opportunities. So any kind of details you can talk about broadly, that would be great.

Teck Long Tan

Group Chief Executive Officer

Okay. In terms of geography footprint, we are very committed to our Twin Hub and ASEAN domestic strategy. So if the right portfolio come along, we will be very keen in these markets. So stay in this part of the world.

Operator

[indiscernible] from Reuters.

Unknown Attendee

I have 2 questions. The first one is your assessment on the latest Trump situation, especially following the court tariff ruling. Do you see like a better or improving environment going forward? And the second question interestingly is on your gold product launches.

I just want to get more details on is it something new that has just been launched? And if yes, how has the reception by the customers has been? And the other thing, I would presume that OCBC has a physical vault of gold, right, just for this product. And lastly, I want to get your view on -- broadly on the gold as an outlook on gold.

Teck Long Tan

Group Chief Executive Officer

Okay. This is -- this is a very difficult as well as easy question, which I said so in the past when it comes to trying to predict President Trump's policy. I have always maintained that the trade tariff situation has not worked its way to the whole economy. Part of the reason is because the supply chain take time to absorb that.

But more importantly, is actually since liberation date until now, trade tariffs has been changing and it's not quite settled globally.

So it does affect a lot of investment decision. So we are still in uncertain time. What I really want to focus is are the fundamentals. And this is where we come in with a position of strength. We have a strong balance sheet. We know our location well. We are very forward-looking with our deployment of ADD.

So using this, we are actually looking for opportunities to help our customers to help grow our business. I wanted to point to last year's outcome. If you look at last year outcome, aside from the wealth business, if you look at the loan business, we expanded high single digit.

On a constant currency basis, we almost approached double digit. So we are able to navigate this environment quite well. But having said that, I still want to be cautious because the environment changes so quickly, just like what happened in the second quarter. We never expect HIBOR to take a dive trip all the way down and then we surface up again, right? 300 basis points overnight is a very big movement.

Your second question is relating to gold. We had some gold products in the past. But last year, we became very concerted about our growth strategy. In terms of the numbers, I'll invite our wealth head to share some of the outcome.

Sunny Quek

Head of Global Consumer Financial Services

Yes. Maybe I can provide a little bit of context. We have gold trading on our app since 2024. In 2025, we grew 8x. And for the first 2 months of this year, we're almost at last year's level already. We do not have a physical gold. We don't do physical gold in the OCBC. And so this is -- because I think it's a lot of it's very cumbersome for customers to buy, to sell back the gold and the gold has to be intact in the wrapping and all these things.

So I think we -- and we -- through the studies, we see there is a segment of customers who prefer to just buy on the app, right, because they just want to enjoy the price appreciation of the gold. So it's a very hands a free and convenient way and you can do it anywhere, 24/7 at night, you feel like buying, you just buy off the app itself.

Teck Long Tan
Group Chief Executive Officer

I will supplement that the CFS app, the OCBC app is very user-friendly.

So although I talk about like the hurdle to invest is set low, but actually, customers who could be a higher net worth may also use this app to buy because of the sheer convenience. Of course, they also may buy even bigger amounts through the RMs. For gold, we -- the reason why we decided to focus on gold last year was also because we saw some trends. We saw central banks buying. We saw a lot of retail investors' interest. We saw a lot of the basement trade as well. So do you want to say something Ken?

Kenneth Mark Chin Kui Lai
Head of Global Markets

Yes. Just to add. So currently, as Teck Long and Sunny alluded to, our gold offering is unallocated, so paper [indiscernible], and that's being offered on our online platforms or through voice as well. We also offer that 24/7. So even after the gold market closes after New York hours, we continue to offer pricing to our customers over the weekend.

So that's unallocated gold. Now in terms of how we are approaching our growth strategy is twofold. Basically, one is custody on chain and out of chain, right? So the out of chain business is something that requires a bit more thought because that involves basically retail clients buying gold and taking out. So from that point -- from that perspective, we feel that our current offering is adequate enough and we've actually been gaining a lot of traction in terms of just offering [indiscernible]. But that's something we are continuing to explore to see whether it makes sense. The custody on chain business is that's where we're going to be offering physical gold, and that's mainly to institutional clients, and that's also to high net worth clients.

So we -- so your question towards do we have a vault. We have a vault with our custodians because in terms of offering allocated gold, physical gold to institutions, you probably need to custodize that with reputable custodians today.

Operator

We'll take a question online. Nick, please unmute yourself and go ahead.

Nicholas Lord
Morgan Stanley, Research Division

Sorry, it's Nick from Morgan Stanley. Hopefully, you can hear me. Congratulations on the results. A couple of questions from me. First of all, I just wonder if you could talk a little bit more about your Malaysia wealth strategy. It sounds quite interesting. I'm just interesting how you're thinking specifically you will tie together the sort of 3 bits of the business to deliver on that.

Second, linked to that, I mean, obviously, you've done a big review of wealth. And I'd like you to just explain to us how you think you are competitively positioned, especially in the Bank of Singapore space. What makes me become a client of Bank of Singapore rather than, say, a Standard Chartered or a DBS, for example?

And then just finally, a small question. I noticed a big uptake of the dividend from Great Eastern yesterday. So I just wondered if you could talk about sort of dividend policy at Great Eastern and how you're thinking about getting capital out of Great Eastern and into the bank.

Teck Long Tan
Group Chief Executive Officer

Sorry, what was your last bit? I miss how do we get the...

Nicholas Lord
Morgan Stanley, Research Division

So Great Eastern -- Great Eastern dividend stepped up quite nicely. I think it almost doubled yesterday, full year. So I just wondered if you could talk a little bit about sort of capital policy for Great Eastern and how you're thinking on getting capital out of Great Eastern and into bank.

Teck Long Tan
Group Chief Executive Officer

Okay. Yes, I'll leave the easier question for Jason and Greg. For Malaysia, we are reenergizing our consumer financial services. And so we want to target the premium all the way to the higher end of the wealth continuum. In Malaysia, currently, we have a lot of competitive advantage because GE actually services a customer base equal to half of Singapore's population.

So that will keep us really very busy thinking of how to deliver value proposition to the customer base. Now we must bear in mind that in all the wealth business, we need to segment the customers and understand the need of the customer in order to deliver the correct journey. So this is our thinking in Malaysia to give us an edge. Under the whole wealth initiative, the other units of the bank, such as Bank of Singapore, which actually publishes their insights and the strategic allocation of asset view will also be helpful to grow our wealth business in Malaysia.

Now I will ask Jason to address the question on how competitive it is and Jason, please.

Yi Sin Moo

Chief Executive Officer of Bank of Singapore

I don't necessarily think it's the easier question, but I will try nonetheless. So thank you very much for the question. So for the Bank of Singapore, we've spent the last 3 years really building out our intellectual capital and our thought leadership.

So in 2024, we convened our Global Advisory Council to identify super trends, which our clients have been able to capitalize and build on things like digital infrastructure, AI trends that we hope clients will benefit for multiyears.

Teck already talked about a strategic asset allocation model, which we've developed proprietary to Bank of Singapore, which we will make available also over time to the OCBC ecosystem in general. We also have a best-in-class transaction engine with pricing and speed capability that is probably top of the market right now.

So I really feel confident that clients who bank with us also get the benefit of Bank of Singapore's intellectual advice and investment capability, plus with the backing of OCBC, they have an access to a broader array of services, both on the corporate side where needed and obviously, over insurance and banking capabilities. So I think combine all of that, we've got a very strong proposition to stand out amongst all the other private banks.

Teck Long Tan

Group Chief Executive Officer

Do you want to cover...

Unknown Executive

Just on the Great Eastern dividend policy. So we have a progressive dividend policy. So we won't go backwards based on the dividend we paid this last year. So even if it's a volatile year going forward, shareholders are going to get this at least the same as what they got previously, but our policy is actually to move progressively up to 50% payout.

So we will be paying out more as we go forward. And obviously, we will be looking at opportunities to deploy that capital. So we will be looking to grow the business substantively over the next few years. So we will be investing significantly in the business. So we will be using that capital to grow the business organically. And we are also looking at inorganic options, as Tenk Long mentioned earlier.

Operator

[indiscernible] from Business Times.

Unknown Attendee

I just have a few questions on the wealth management side. Firstly, it's on the new sort of wealth management committee that the CEO talked about. Maybe you just share why setting up this committee is important and more of the thinking behind it?

Second question is on the Whole-of-Wealth strategy. Does this also mean basically we might see a more concerted effort in cross-selling across all the different parts of OCBC? And does this mean changes in perhaps how teams work or how teams work together across the different parts of the bank.

Teck Long Tan

Group Chief Executive Officer

Answering the second question first, yes, indeed, it will be a much more concerted effort working across the whole group. Right now, there's a lot of collaboration already which exists within the group. So a lot of the product owners and the customer segment owners have been collaborating. But what we really want is to be even more ambitious and think about the whole group as in not just Singapore, not just in-country collaboration, but also a global collaboration. So I think that's one big change.

Now -- the wealth business is a complicated business. Sometimes we think in simplistic term, high net worth, PPC, premier. But actually in real life, it kind of overlap because some high net worth customers will prefer to be in PPC, some [indiscernible] are premier only because we haven't managed got the AUM from the other banks yet.

So it's a whole spectrum. Now in any management construct, [indiscernible] from the top is very important. With this wealth MC, we will have a coordinated [indiscernible] from the top where the 3 wealth heads will jointly lead wealth initiatives, which cuts across the whole group, whether is it getting the benefit of ADD strategy, whether is it get the benefit of new product launches, whether is it mutual support for our products, like, for example, we have a high net worth strategy, which Greg just spoke about for GE.

You can just imagine the potential if we take what they have. Of course, we haven't reviewed the full plan yet, so I shall refrain to talk a little bit more. But it's very exciting. The way I look at it, when I evaluate the plan for high net worth for Great Eastern, I can see so much synergy with Bank of Singapore customers.

Well, wealth is important. But at some point in time, health is also important. So this is a teaser for the future yet to be launched high net worth strategy. So in short, everything starts from leadership. That's our belief. So we have set up the leadership correctly to make sure that we have a tighter and more coordinated approach to wealth to deliver value to the customer.

Unknown Executive

If I can add on a little bit. I think in the past, we will look at customers from our own business perspective, and we tend to collaborate. But I think what we are doing things now is we look at the customer and how all of us can chip in and make the customer experience to be seamless. And customer move through different life stages.

So I think it's important that we are there to cater the customer journey from end to end and all we just take a look and see how can we chip in and make customer at the center of everything that we do and instead of just looking at our own business perspective.

Can I share something a little bit more BAU. On a BAU basis, all the wealth units have their own system and processes reengineering to get more efficiency and productivity. With the Wealth MC, you will be much more coordinated even in systems investments.

So that will also give us benefit. If all the wealth MC members decide to do certain things, then we can start to plan which unit go first, which is the one, which can get the most bang for buck and then after that roll it out. We can test new products with certain customer segments across some of their units before we roll out to the broader customer base. So there are a lot of synergies beyond like let's just go for a coordinated strategy with the middle management -- working middle management. So I think this is really the tone from the top.

Operator

Take another question online. [indiscernible]

Unknown Analyst

I just have a follow-up on the wealth to be the first question. I think you talk a lot about it and there's a strong focus. Maybe just put it into numbers for us. What are you thinking in terms of your AUM target growth or your fee growth? You talk a lot about the revenue synergies and moving on that part, but will there be cost synergies as we work together? That's my first question.

Teck Long Tan

Group Chief Executive Officer

We are not ready to talk about the AUM target of flows. But if you look at our revenue target, we continue to aim for double-digit growth in wealth. So you can -- it's underpinned obviously by AUM flows as well, and transaction volume based on the AUM.

Now would there be synergies, cost synergies across the wealth group? The answer is yes. When we develop system, a lot of the systems -- in today's world, we think about micro services. So as we create micro services, we can then use that and replicate it across the wealth unit and also where it's applicable across the whole OCBC greater group. So I think there's a cost synergy as well. We will also be thinking about the human resource, how to equip them correctly to make sure that we have the ideal mix of product specialist and the RM. So quite a lot of synergies there in terms of cost synergies.

Unknown Analyst

Right. Maybe just in terms of some housekeeping questions first. On the NII guidance, I think at the bottom of the deck, it says that you are looking for SORA at about 1.4% and NII then will decline. Do you know where SORA is today and if SORA stays at the level today, does it mean there will be more downside for NII? Or are you protected from some of the hedges that you have put in place?

Teck Long Tan

Group Chief Executive Officer

Currently, we have done a -- we have a house view on SORA. We know that SORA is a little bit low now. The [indiscernible] house view is that SORA could retrace. So it's at 1.4% assumption. If SORA is below 1.4%, there will be downside risk to our revenue expectation.

Unknown Analyst

Right. Okay. And then lastly, maybe just a quick one from you. In terms of your strategy, I mean, just to be a bit picky on it, you said stable to rising ROEs. Just wanted to understand the risk or the thoughts on where or how or why we would be stable in any case in the, let's say, in the 2-, 3-year phase?

Teck Long Tan

Group Chief Executive Officer

Actually, currently, the bank is still digesting the effect of NIM compression. So that is a big uncertainty. So that's why we are a little bit cautious. Despite the uncertainty, if you just look at our guidance for 2026, we are still aiming to grow total income.

Now the NIM compression has a direct impact on ROE. So that's why we are a little bit more reserved. Otherwise, as a corporate strategy, we will just say that we can uplift the ROE. So it's really the NIM environment, which is uncertain.

Unknown Analyst

Right. Maybe if I can sneak in just one last one. I think Great Eastern said that they will be looking for rising dividend numbers, EPS numbers on a total basis. Any thoughts on the group for OC and BC as well? Do you think that we can also have other than the 50% payout, a step on rising EPS.

Teck Long Tan

Group Chief Executive Officer

I think for 2026, we have our ordinary share dividend, and we probably will be looking at share dividend moving from a share buyback to special dividend if we cannot complete the share buyback. The dividend policy remains at 50%. If we grow our revenue, if we grow our profit, that 50% actually translate to a higher dividend.

So our policy remains unchanged. In fact, what we aim is to sell a steady ship to this choppy water, whether it's a capital position, whether is it the way we do loan business.

Maybe we have not been selling ourselves about how well we have done, for example, in the loan business, challenging market, we managed to be higher than system average growth in the last 3 years. Despite the challenge in Greater China, you don't really see our NPL rate going up.

You see provisions. In fact, we also took the opportunity to increase our ECL too and just that our provisions right now is 1.5x of the NPA. And for those who might not be so familiar with this ratio, NPA is a whole nonperforming asset. It's not -- and our nonperforming asset, especially when it comes to real estate is typically also secured.

So you won't lose the whole loan, but we don't need to go there because we are already at 1.5x of NPA. So if you really think about the whole thinking, actually, we have done very well.

Operator

Can we have [indiscernible], please?

Unknown Analyst

Congratulations on your good results. And I'm also happy to hear that you prefer special dividends to share buybacks because the analysts love share buybacks.

So I have 2 separate questions on 2 separate topics. First, on the NPAs, which I mean you've done -- you've done very well on your credit costs and versus what your peers have reported. So what differentiates your sort of credit risk management from your peers? So that's the first question.

And the second question is that in terms of your -- you've got a capital-light focus in your New Frontier strategy. So I'm just wondering whether if you could -- I mean, I know ROEs are difficult over this year because of the NIM compression. But in the next 2 years or 3 years, could you get to the mid-teens or towards where your previous bank got to? That's the second question.

And the third question is the first time we mentioned the word China was what you just said a moment ago. So there appears to be a geographic shift to ASEAN from Greater China because there was a sort of Greater Bay Area focus previously. So I'm just wondering what are you looking at?

I mean I know you've talked about it, but are you looking at in terms of organic opportunities. But what about inorganic opportunities? Does your ASEAN shift include that? So those are the 3 questions.

Teck Long Tan

Group Chief Executive Officer

Sorry, just a matter of clarification, you are referring to inorganic shift in China?

Unknown Analyst

No, I'm referring to the inorganic. I mean, you've got a shift to ASEAN -- is there any inorganic opportunity there...

Teck Long Tan

Group Chief Executive Officer

Okay. I cannot comment on other banks credit policy. For us, we took a very conservative view. We have been observing ahead -- slightly ahead of the -- if I were to judge based on the questions relating to Hong Kong CRE as a thermometer on -- focusing on the issues there for real estate.

Actually, even before that started, we have started to take positive action. We have actually stopped growing the higher risk segment and degeared that part. Our growth in Hong Kong, you will see that we are still growing, but we are focusing on loans to quality customers.

Secondly, when it comes to provisioning, we have been -- or way we managed our cases, we have been very proactive in downgrading the cases. So as we downgrade the case, our system is such that ECL 2 would also increase.

So automatically, there's a buffer zone even before it go to ECL 3. And where the situation warrants, we will downgrade into ECL 3 and have more provisioning. And that provisioning is quite conservative. So this is how we have been managing it. Our peers, I cannot really comment. On the second question, help me along. You were talking about capital-light and NIM compression, compared to the peer.

Okay. I want to be very grounded in the way we think about strategy. We are at the start of execution our strategy. I think in 1 year time, we will have a better picture on what works well, what works really very well. And then maybe at a point in time, we also the NIM impact digested, then maybe we are more ready to share some thoughts on what could be a guided CET1, what could be a guided ROE.

Okay. The next question is -- so you have picked up the messages. Thanks for picking up the messages. Indeed, there's a pivot to focus on ASEAN domestic market. Hong Kong remains important to us. So like what I mentioned, what we have done in that slide relating to franchisee is a very big slide. We did not include a lot of the BAU stuff, which we are also gaining momentum.

Like, for example, loan growth in Hong Kong, despite the challenge, we managed to also keep the loan -- I mean, it's a bit slower growth than the rest of our franchise, but we also managed to grow our loan franchise there. We also managed to grow our fee franchise across the wholesale bank, across the wealth business.

Our fee growth in Greater China in global markets is also double digit from customers. So very good set of results. I just did not have time to go into detail. So Hong Kong is important. ASEAN, there's huge opportunity for us. If there's any inorganic opportunity in ASEAN, we will certainly want to take a look.

Operator

Let's go to the next question.

Unknown Analyst

I just wanted to clarify on the SGD 2.5 billion to be returned completed this year. Can I just confirm that the remaining amount is in the low SGD 700 million? I think Yong Hong mentioned SGD 800 million, but I had a different number.

And then I think you've made it very clear that you prefer special dividends. Would you sort of look at spacing that out? Or would it all come at the end of the year if you don't do the buyback? Because I guess we've become accustomed to seeing it sort of sequentially. So it would be great to see that consistency would be keen for your thoughts.

And my second question is just on the strategy, which was very helpful. You've sort of kept the guidance though at pretty consistent costs. I just wanted to know if any of the strategy is going to require any significant investment? Like would there be a period where the cost will be higher in anticipation of better revenues and better growth later on? It would be good to understand the thinking on that.

Teck Long Tan

Group Chief Executive Officer

Okay. Chin, you want to take the question on the share.

Chin Yee Goh

Group Chief Financial Officer

Yes. Jan, you asked about the share buyback remaining portion, whether it's SGD 700 million or SGD 800 million, it's about SGD 780 million because we have done 22% of the SGD 1 billion.

Unknown Analyst

Just the timing, like when would you -- if you don't actually -- because you've been buying back based on market conditions, right? If you actually deploy it, would you do a special in the first half?

Chin Yee Goh

Group Chief Financial Officer

Yes. We mentioned that remaining of that SGD 780 million, if we do not continue to execute our share buyback for cancellation, we will return that in the form of dividend by financial year 2026.

Teck Long Tan

Group Chief Executive Officer

Thank you. On the execution strategy, yes, we are the on-site execution of a new strategy, and we have a refreshed ADD strategy. ADD strategy is about strategy. It's also about culture. It's also about how do we get value out of our ADD efforts in a more concrete manner shall we say, right, so that we have visibility, right?

Now there will be investments required, but we are cognizant of the trade-off between cost-to-income ratio during the gestation period. So perhaps during the gestation period, we will have slightly higher cost-to-income ratio, but we keep an eye on it. So in my last slide, I actually also explicitly stated that we will keep the cost-income ratio within a certain range. So we could pace our investments, for example, I mean, there's a trade-off, right? So we will do that trade-off to measure the cost-to-income ratio, maybe a couple of percentage points for investments, but we don't want to deviate from the 40% to 45% guidance.

Operator

We'll take the last question online.

Unknown Analyst

I just have 2 very quick questions. First one is on -- I just want to hear your thoughts on GE and whether there's a need to pursue another buyout in the near term, given how you've been talking about GE as being an important part of your wealth strategy going forward?

And second question is on whether there is any exposure to private credit, both your direct lending and indirect through the wealth management distribution business. Maybe some rough numbers on the percentage of AUM in private credit would be very helpful.

Teck Long Tan*Group Chief Executive Officer*

For GE, we have initiated the excise and complete excise to buy more shares in GE or even to privatize it. So we have -- that is a chapter behind us already. We will not be looking at acquiring more GE shares in the foreseeable future. Secondly, we today own 93.7% of GE. That's good enough for us to collaborate within the group.

So we are -- so at this level, we don't feel the need to increase the share just for the collaboration. On private credit, if you have been about private credit in Asia. So if you really think about it, the biggest market for private credit is in the United States. We don't end up in that space.

In Asia, well, there are a lot of private credit outfit being set up and so on and so forth. We think we know Asia the best. We have not embarked on any private credit strategy just that we put our -- we took on risk assets. So private credit is not part of -- we don't have private credit exposure here in our book today. So on the AUM front, I think it's less about AUM. It's about us having -- because of the demand for certain high net worth customers, we might have some private credit funds on the shelf for the customers to invest if they choose to.

Operator

We have one more minute. If any analysts have a question, we -- I guess we can take that because there were many hands earlier.

Unknown Analyst

[indiscernible] from Bank of America. Just a quick one on the wealth. I mean, extremely strong growth expected on back of a strong 2025 base at double digit. Just wanted to understand a little bit where the net new money, like which pockets is it coming more from? And where do we expect this to continue coming from in addition to the synergies, of course, that we see?

Teck Long Tan*Group Chief Executive Officer*

It's actually quite broad-based. Maybe I'll ask the [indiscernible] case to share a little bit on the net new money. Maybe as you can ask -- Sunny will speak for....

Sunny Quek*Head of Global Consumer Financial Services*

So I think we -- quarter 4, we saw SGD 6 billion of net new money, and we end up the year with SGD 27 billion of net new money. As said, I think it's very broad-based. I think basically, some of the things that we do are also about engaging our customers and deepening the relationship.

For example, I think attracting customers, making our payments very efficient. In fact, if you take a look at our mobile app, we have 10 wallets that we have added the most number of wallet you can see in Southeast Asia, meaning you can transfer money to 10 wallets in the region.

And also, if you look at scan and pay capabilities in China, we have Alipay, UnionPay and Weixin Pay. So we are the only bank that has the most comprehensive payment.

So I think it is strategies like this that we are engaging customers. We give them a reason to put more money with us by putting money inside them and they also give us the opportunity to cross-sell into them.

And the other thing that we do also is look at the senior care. We launched a senior care. And this elderly, this group of customers tend to be sort of neglected in the way that you can't really sell them too much things. But we coming from a super-aged country that we are coming in 2030.

I think this is an opportunity where we really want to engage this group of customers. And there's a whole 12 main pillars that we are in trying to engage them. And we do see customers moving money here as well, and there are many opportunities that we can do with them.

And in fact, if I can add one more point. In Hong Kong, right, I think we've done very well. I shared earlier, we are wealthy up 70%. The year before, it was about close to 60% as well. And we also -- and you can see that we are investing in Hong Kong. We have recently just unveiled our flagship branch in Queens Road Central. And what we did there was, I think we also brought the local SME

there and [indiscernible]. And we are the first in Hong Kong, whereby in the retail bank, we have is a consumer bank branch with a retail concept.

So in our flagship branch in Hong Kong, we have about 100 square feet of space dedicated for customers. Hong Kong love -- Hong Kong people love Singapore [indiscernible] . So we brought our Singapore SME there. It's the first of its kind in Hong Kong and in fact, it's gone viral in Hong Kong, right? A lot of customers are very impressed and their queues forming up. We're probably going to give [indiscernible] around for his money in the queue as well.

Unknown Executive

Maybe I'll just add on from the Bank of Singapore perspective. We found, especially with 2025, we found a lot of clients deploying their excess cash into investments. So we did very well on the trading front as well. So we found ourselves also being the primary kind of money manager for clients. So a lot of clients have put large amounts of money for asset allocation with us and discretionary portfolio management. So our fee-based business has risen as well. So I think we're trying to migrate ourselves, as I mentioned earlier, into the intellectual thought leadership space and being the main investment -- main bank for investments for clients in the future.

So I think that's where we are looking to generate most of our revenues from.

Teck Long Tan

Group Chief Executive Officer

Chin, can I have permission to say something. She controls the meeting. I just want to -- in summary, says that we are going to be very focused on growth. We are going to be very focused on the customer journey. So all the digital data, these are tools to help the customer journey. Despite the challenges in the environment, we are still going to focus on growth because we believe our Asian insights really give us a competitive advantage to understand where the pockets of opportunities are.

So this is the -- so in summary, we are going to forge ahead of our New Frontier of growth strategy. So...

Operator

With our Next Frontier of growth that bringing us forward, I will end this morning's session. Thank you very much for joining us this morning. Thank you.

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